

Employing in Denmark

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts referencing the applicable overenskomst (collective agreement)
- **Monthly payroll** — salary payments in DKK, itemised payslips
- **Tax withholding** — A-skat (income tax) and AM-bidrag (labour market contribution) withheld and remitted
- **ATP & occupational pension** — mandatory ATP Livslang Pension and (where applicable under a CBA) occupational pension contributions
- **Leave and termination management** — notice periods, entitlements and Funktionærlov guidance

Employment Conditions

Contracts & Probation

Denmark has no statutory minimum wage — pay floors and most terms are set through sector overenskomster (collective agreements), making correct CBA identification essential for compliant hiring. Salaried employees (funktionærer) benefit from the Salaried Employees Act (Funktionærloven).

Item	Detail	Legal Basis
No statutory minimum wage	Set by the applicable overenskomst (collective agreement)	Collective bargaining
Funktionærloven coverage	Applies to white-collar salaried employees; sets notice, sick pay and other minimums	Salaried Employees Act (Funktionærloven)
Holiday Act (Ferie-loven)	"Concurrent holiday" system — leave is earned and used within the same 12-month period	Ferie-loven (2020 reform)

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	37 hours/week (typical CBA standard)	Overenskomst (collective agreement)
Overtime premium	Not statutory — set by the applicable overenskomst	Collective bargaining

Minimum Employer Costs (2026)

Denmark's employer statutory on-costs are unusually low by European standards — there is no broad employer-side social security tax like France or Germany's. Most of the burden sits on the employee side via the flat AM-bidrag and progressive income tax.

Measure	Rate	Notes
ATP Livslang Pension (employer share)	~DKK 198/month (2/3 of the DKK 297 total) for a full-time employee	Mandatory for most employees working 9+ hours/week
AES (occupational injury insurance)	~0.4%–1% of payroll, industry-dependent	100% employer-funded
AUB (apprenticeship/training fund)	Small fixed per-employee amount	100% employer-funded
Occupational pension (via CBA, where applicable)	Typically 8%–12% of gross salary	Not universally statutory, but standard market practice and often CBA-mandated

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	5 weeks/year (2.08 days/month accrued)	Employer	Concurrent holiday system — leave is earned and used within the same period
Sick Pay	Employer pays the first 30 calendar days	Employer, then municipality (sygedagpenge) thereafter	Ferie-loven / Sygedagpengeloven
Maternity/Parental Leave	Up to 52 weeks combined, shared between parents	Barselsdagpenge (largely employer-reimbursed via Barsel.dk for CBA-covered roles)	Includes an "earmarked" 11-week quota per parent

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
ATP + AES + AUB (illustrative, ~1.5%)	\$45.00	1.50%
Occupational pension (illustrative CBA rate, 10%)	\$300.00	10.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,945.00	~131.5%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Denmark's genuinely mandatory employer on-costs (ATP/AES/AUB) are among the lowest in Western Europe at roughly 1%–2% of gross — the occupational pension shown here is market-standard practice rather than a universal legal requirement, but is expected in almost every professional role. Employee deductions (withheld separately) include the flat 8% AM-bidrag and progressive income tax (capped at a ~52.07% marginal "skatteloft", higher with church tax).

Income Tax (2026)

Component	Rate	Notes
AM-bidrag (labour market contribution)	8% of gross salary	Deducted before all other tax; exempt for employees under 18
National + municipal income tax	Progressive, marginal rate capped at ~52.07% (skatteloft)	Municipal rate varies by kommune
Church tax (Folkekirke members only)	~0.7%–1.3%, optional based on membership	Can push the effective top marginal rate to ~56%

Termination & Separation

Notice Periods (Salaried Employees Act)

Length of Service	Employer's Notice	Key Rule
Under 6 months	1 month	Funktionærloven
6 months – 3 years	3 months	Funktionærloven
3 – 6 years	4 months	Funktionærloven
6 – 9 years	5 months	Funktionærloven
9+ years	6 months	Funktionærloven
Employee resignation	1 month, regardless of tenure	Funktionærloven

Long-Service Severance

Denmark has no general statutory severance beyond notice pay, but salaried employees (funktionærer) with 12 or 17 years of continuous service are entitled to a special severance payment.

Length of Service	Severance
12 years	1 month's salary
17 years	3 months' salary

★ HERO TIP

Employees unfairly dismissed after at least one year's service may claim additional compensation of up to 50% of salary during the statutory notice period on top of ordinary notice pay — this exposure is often overlooked by foreign employers assuming Danish termination is purely notice-based. Route any Danish dismissal through your HeroForce EOR to confirm the fairness grounds before issuing notice.

Public Holidays 2026

Denmark observes around 10 public holidays in 2026, blending fixed civic dates with moveable Christian holidays.

Date	Holiday	Type
1 January	New Year's Day	National
2 April	Maundy Thursday	National
3 April	Good Friday	National
5–6 April	Easter Sunday and Monday	National
1 May	Labour Day (customary, not universally statutory)	Common practice
14 May	Ascension Day	National
24–25 May	Whit Sunday and Monday	National
5 June	Constitution Day (half-day, customary)	Common practice
25–26 December	Christmas Day and 2nd Day of Christmas	National

Great Prayer Day (Store Bededag) was abolished as a public holiday from 2024 and is no longer observed nationally.

Ready to hire in Denmark?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Denmark employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).